NET METERING NET SURPLUS ELECTRICITY COMPENSATION

UTILITY RATE SCHEDULE E-NSE-1

A. APPLICABILITY:

This Rate Schedule applies to eligible residential and small commercial Net Energy Metering Election A Customers who, at the end of an annual settlement period, as described in Rule 29, are Net Surplus Customer-Generators of electricity who elect to receive monetary compensation as such preference is indicated on the net surplus electricity election form. This Rate Schedule only applies to Customers who participate in Net Energy Metering, and does not apply to Customers that take service under the City's Net Energy Metering Successor Rate, as each of these terms are defined in Rule and Regulation 2.

B. TERRITORY:

This rate schedule applies everywhere the City of Palo Alto provides Electric Service.

C. RATES:

	Per kWh
Net Surplus Electricity Compensation rate	$ 0.1064

D. SPECIAL CONDITIONS

1. Net Surplus Electricity Compensation Rate eligibility shall be determined as specified in Rule 29. Net surplus electricity, as specified in Rule 29, if applicable, will be multiplied by the above compensation rate to determine the Customer's annual net surplus electricity compensation stated in dollars.
2. Additional terms, conditions and definitions govern Net Energy Metering Service and Interconnection, as described in Rule 29.

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